

FUND MANDATE - EUROPEAN SUSTAINABLE INFRASTRUCTURE FUND

Document Ref: ESIF-2026-EU-004

Status: Approved for Capital Raise

Target Fund Size: €1.5 Billion EUR

1. Investment Thesis

The **European Sustainable Infrastructure Fund** ("the Fund") focuses on core-plus infrastructure assets that facilitate the green energy transition within the European Union. The mandate prioritizes long-term, inflation-linked cash flows derived from essential services with high barriers to entry.

2. Strategic & Geographical Focus

- Geographical Focus:** 100% European Union (EU-27) and EFTA countries (Norway, Switzerland).
- Sector Focus:** Renewable Energy, Circular Economy, and Green Mobility.
- Asset Type:** Brownfield (70%) and select Greenfield (30%) projects.

3. Mandatory Financial & Operational Thresholds

To maintain the Fund's risk-return profile, all prospective acquisitions must satisfy these criteria:

Metric	Threshold	Rationale
Minimum Asset Value	> €100M EUR	To ensure institutional scale.
Contracted Revenue	> 75%	Must be backed by long-term PPAs or government subsidies.
EBITDA Margin	> 40%	High-margin infrastructure requirement.
Interest Coverage Ratio	> 2.5x	Ensures debt serviceability during rate fluctuations.
Asset Useful Life	> 15 Years	Align with long-term fund duration.

Metric	Threshold	Rationale
Debt to Capitalization	< 65%	Maximum leverage constraint to protect equity.
ESG Rating	Article 8 or 9	Must meet SFDR (Sustainable Finance Disclosure Regulation) standards.

4. Key Risk Mitigants

- **Merchant Power Risk:** We cap "unhedged" exposure to spot electricity prices at **20%** of the total portfolio revenue.
- **Political/Regulatory Risk:** Avoidance of jurisdictions with a history of retroactive subsidy cuts or unstable energy policies.
- **Technology Risk:** Investments are limited to proven technologies (Wind, Solar, Hydro, Battery Storage). Experimental tech (e.g., unproven green hydrogen) is capped at **5%** of the fund.
- **Counterparty Risk:** All major off-takers (buyers of power/services) must hold an **Investment Grade (BBB- or higher)** credit rating.

5. Portfolio Diversification Limits

To ensure a balanced risk profile, the following concentration limits are applied:

- **Country Limit:** No single nation can represent > 30% of committed capital.
- **Single Asset Limit:** Max **15%** of the fund per project.
- **Sub-sector Limit:** Max **50%** in Solar PV to ensure technology diversification.

6. Governance & Reporting

The Fund operates under a **Global Infrastructure Standards** framework. Quarterly reporting must include:

1. **GRESB** (Green Real Estate Sustainability Benchmark) scores.
2. **Actual vs. Forecasted Yield** (Cash-on-Cash).
3. **CO2 Abatement Metric:** Total tonnes of carbon avoided per €1M invested.